

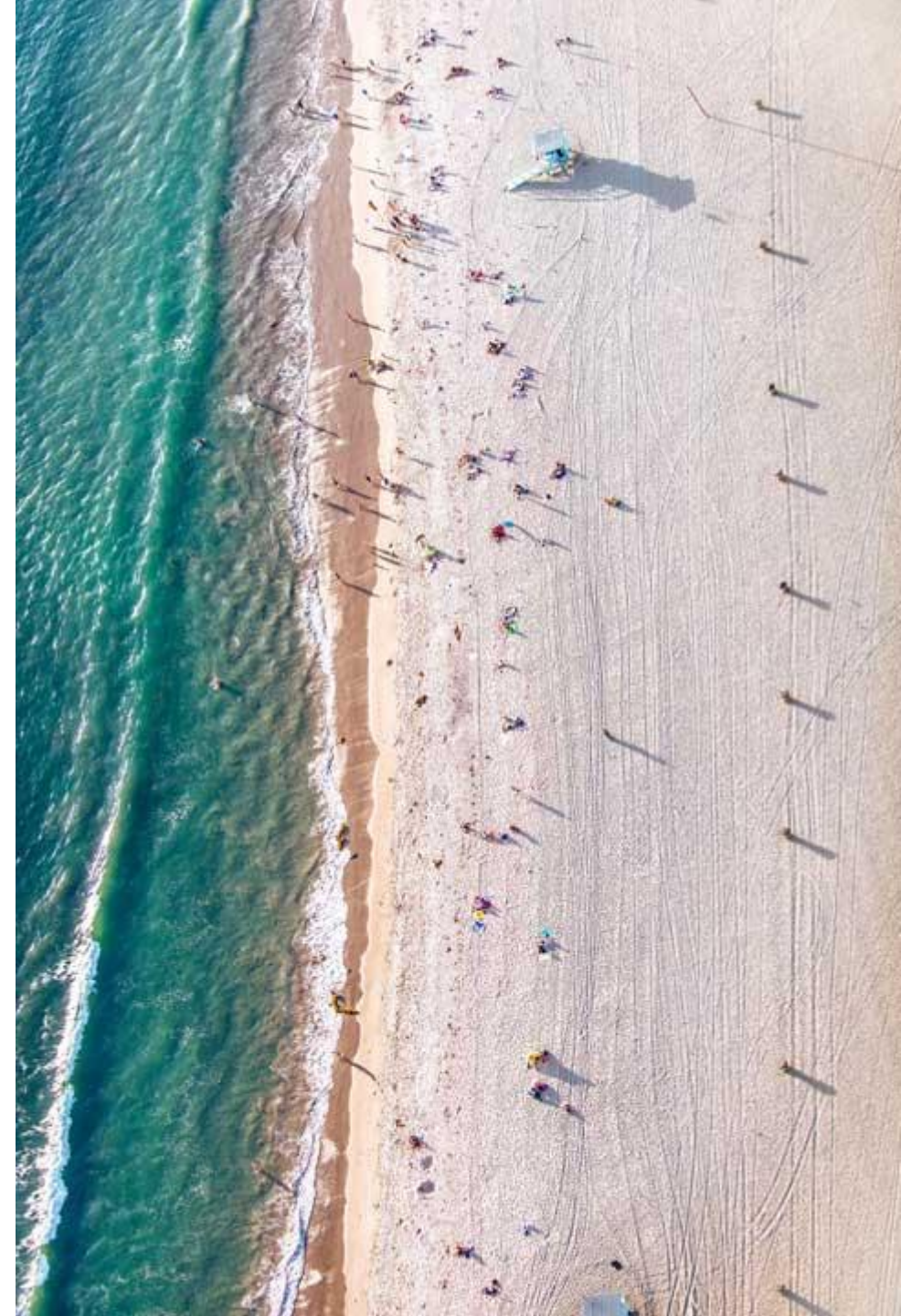
June 2020

Category review: Chips

Retail Analytics



Classification: Confidential



Our 17 year history assures best practice in privacy, security and the ethical use of data

We all have a responsibility to use data for good

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantum has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

Quantum believes in using data for progress, with great care and responsibility. As such please respect the confidence nature of this document.

Executive summary

01 Task 1

Overall chip sales show a **steady upward trend**, supported by consistent increases in customer transactions.

Young Singles/Couples and **Mainstream / Budget shoppers** make up the largest share of chip customers

02 Task 2

Store comparison indicates that **trial store sales improved**, showing higher customer engagement than the control store.

Recommendation:

Target **Budget Families & Young Mainstream customers** through **promotions** and **value-pack** offerings to boost further sales.

01 Chips Category

The analysis focuses on the **Chips product category**, which is a high-volume, frequently purchased snack item. It plays a major role in store sales due to high customer demand and strong contribution to overall basket value.

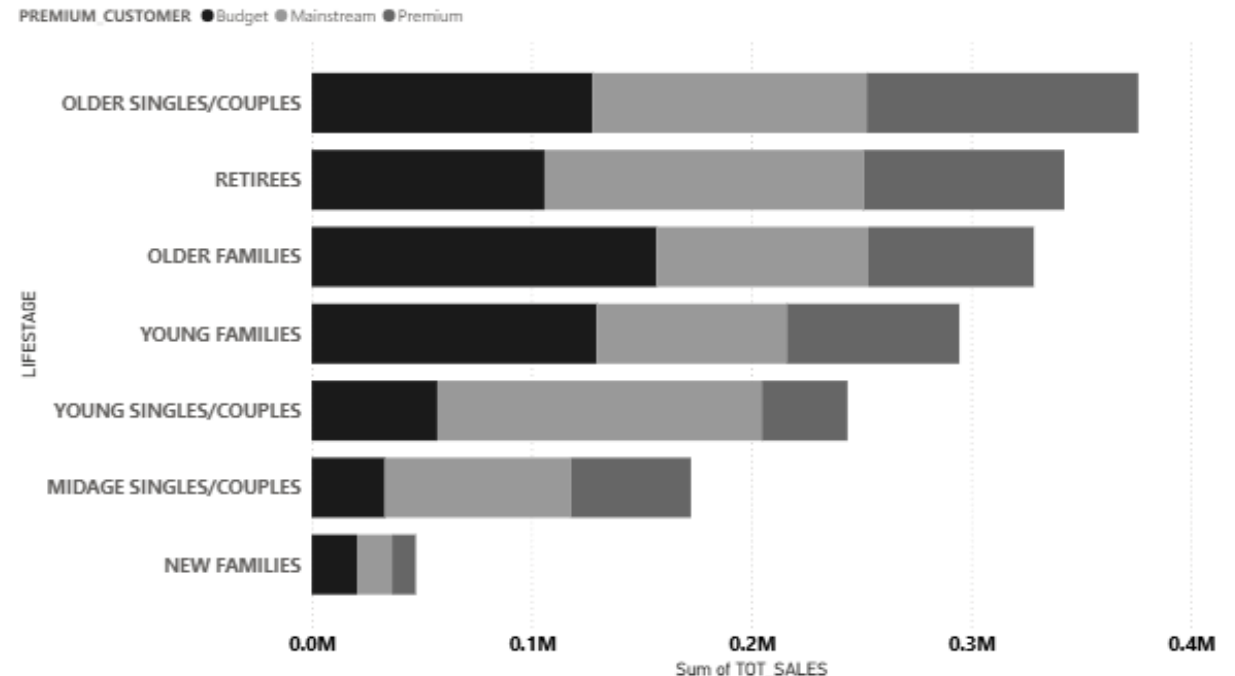
Metrics analysed: **Total Sales, Customer Count, and Customer Segments (Life Stage + Affluence).**

- Chips are important because they show clear buying patterns across age and income segments.
- Customer segmentation helps identify **which groups drive the most revenue** and where promotional opportunities exist.

Overview: Key callout

Main Insight: Older Singles & Couples contribute the highest chip sales, especially within Mainstream and Budget customer groups.

- Older Singles/Couples = highest sales
- Budget/ Mainstream buyers dominate volume
- Large Pack sizes often purchased by Families; small packs by Singles



Affluence Analysis

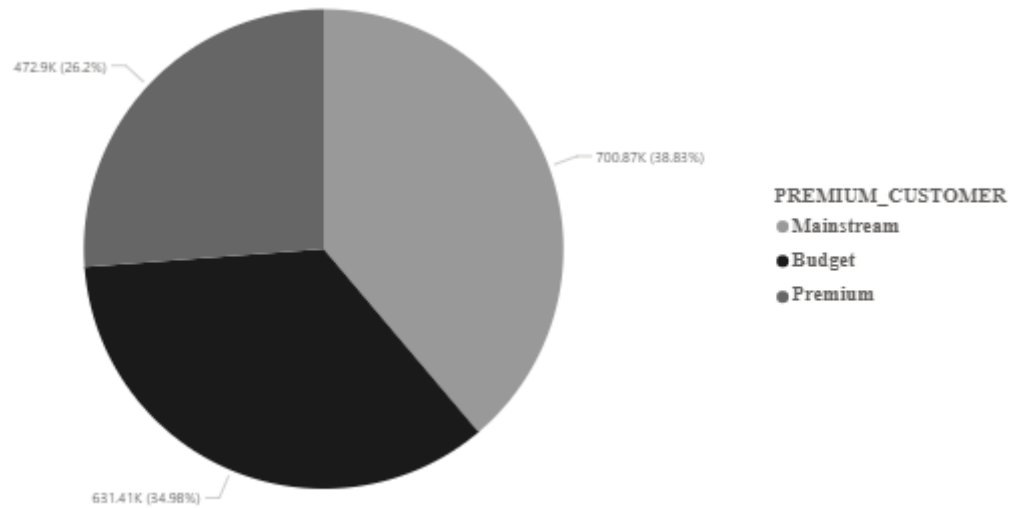
(Effect on Consumer Buying)

Key Insight: Budget shoppers tend to buy higher quantities, especially during promotions, while Premium customers buy less frequently but prefer larger pack sizes or branded chips.

This shows dual opportunity:

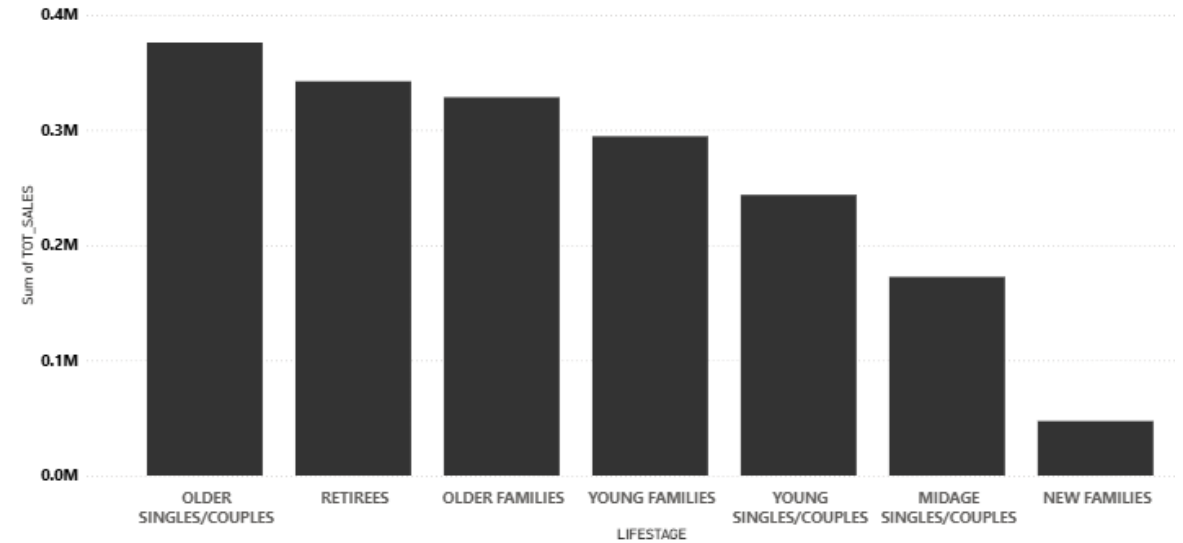
- Target **Budget families** with multi-buy offers
- Target **Premium customers** with specialized or larger-size products

Customer Proportion by Affluence



Budget shoppers make up the largest share of chip customers, while Premium shoppers represent the smallest segment

Customer Proportion by Life Stage



Older Singles & Retirees make up the largest share of chip customers, followed by Older and Young Families,

02 Trial store performance

Trial stores showed uplift in raw sales and customers, but the uplift was not statistically strong.

- Sales and customer numbers increased during the trial months (Feb–Apr 2019).
- Variations were within normal behaviour observed in previous periods.
- Trial stores did not outperform scaled control stores by a wide margin.

Explanation of the control store vs other stores

The selected control stores were appropriate and provided a fair baseline for comparison.

- Control stores were chosen using a combination of **correlation** and **magnitude similarity** across sales and customer metrics.
- Only stores with consistent 7-month pre-trial history were considered.
- Control stores matched the pattern and scale of the trial stores.

Evidence & Details:

- Store 77 → Control Store 233
- Store 86 → Control Store 155
- Store 88 → Control Store 178
- Correlation and magnitude scores were highest for these matched stores, ensuring credible comparison

Call out of the performance in the trial store, determining if it was successful

The trial was *not successful* and should not be rolled out in its current form.

- No statistically significant uplift was detected in any of the three trial stores.
- Observed changes fall within expected natural variations.
- Additional adjustments or stronger interventions may be needed.

Evidence & Detail:

- All trial stores: 0 significant months
- T-values remain below threshold → cannot confirm uplift
- Control stores behaved predictably → analysis is reliable

Recommendations:

- **Refine the intervention:** Explore stronger or more targeted promotional strategies.
- **Run an extended pilot:** A longer trial period may reveal sustained uplift.
- **Segment focus:** Test intervention effects on specific customer groups (e.g., young families, premium shoppers).
- **Future trials:** Continue using matched-control methodology for accuracy.



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